

India should lower tariffs – for the right reason

India shouldn't **fret over** US President Donald Trump telling Apple Inc's CEO Tim Cook not to make the country its next major manufacturing-cum-export hub after China. "We **put up with** all the plants you built in China for years. We are not interested in you building in India," Trump claims to have said. Delhi mustn't take that comment too seriously. Cook is ultimately **accountable** to the **shareholders** of Apple, which now makes about 40 million out of its 220 million-odd iPhones sold globally in India, and the balance from China. The Cupertino-headquartered tech giant's **plans** to expand its operations in India **are** purely a function of the cost-competitiveness of assembling handsets here and the **perceived** need to diversify supply chains from China as part of a larger **geopolitical risk mitigation** strategy. These are business decisions, not made overnight or unmade **at the whim of** one person, however powerful.

India's focus should be on making itself a preferred investment destination for not just Apple, but all global companies that made China their factory to produce for the world. That would mean going beyond assembling to creating a **full-fledged** manufacturing **ecosystem** — **of the sort** already **existing** in India's automotive and **ancillary** sectors and needing **replication** in industries such as smart phones, computers and consumer electronics. All this requires **economies of scale**, which India can partly offer through its largely domestic market, like China's. But true cost-competitiveness and operational scale-up comes only from making for the domestic as well as global market. Trump's **exhortation** to Cook to **confine** Apple's make-in-India plans to only taking care of iPhone sales in India **seems** more like wishful thinking. And India must prove just that — through stable policies, making it **worthwhile** for Apple to **deepen** its engagement by expanding both production capacity and the local supplier base.

India also does not have to show excessive concern over Trump's **assertion** of Delhi offering to "drop all tariffs" on goods imported from the US. The fact is that the **bilateral trade agreement** between India and the US **is** still under **negotiation**. What's clear is that India is more open to cutting tariffs and offering greater market access for imports, just as it is **seeking** the same from its trade partners. This **approach** — a refreshing **departure** from the **protectionist tendencies** that gained hold during the first two terms of the Narendra Modi government — **was** noticeable in the recently sealed comprehensive trade deal with the United Kingdom. India's **economic history**, both pre- and post-reform, **provides** sufficient evidence of growth **acceleration** whenever policymakers have displayed **openness** to foreign trade and investment. Lowering tariffs and allowing greater import competition is something India should do **for its own sake** — and not because Trump says so.

[Practice exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denotes 'verb'.

Vocabulary

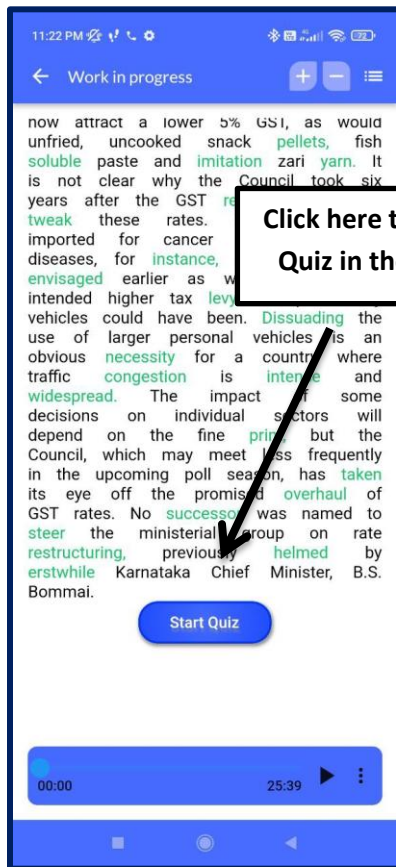
1. **Tariff** (noun) – duty, tax, levy, charge, toll
शुल्क
2. **Fret over** (phrasal verb) – worry about, be anxious, stress over, agonize, fuss चिंता करना
3. **Put up with** (phrase) – tolerate, endure, bear, accept, withstand सहन करना
4. **Accountable** (adjective) – responsible, answerable, liable, obligated, bound जिम्मेदार
5. **Shareholder** (noun) – investor, stakeholder, stockholder, proprietor, equity holder शेयरधारक
6. **Perceived** (adjective) – regarded, seen, viewed, interpreted, considered माने गए
7. **Geopolitical** (adjective) – international, strategic, diplomatic, global political, territorial भू-राजनीतिक
8. **Mitigation** (noun) – reduction, alleviation, lessening, easing, softening न्यूनीकरण / कमी
9. **At the whim of** (phrase) – at the mercy of, according to desire, impulsively, on a fancy, as per mood इच्छा पर निर्भर
10. **Full-fledged** (adjective) – complete, developed, established, mature, all-out पूर्ण रूप से विकसित
11. **Ecosystem** (noun) – system, network, environment, structure, framework पारिस्थितिकी तंत्र
12. **Of the sort** (phrase) – of that kind, similar, such, like that, that type उस प्रकार का
13. **Existing** (adjective) – current, present, prevailing, available, ongoing मौजूदा
14. **Ancillary** (adjective) – supportive, supplementary, secondary, auxiliary, related सहायक
15. **Replication** (noun) – duplication, reproduction, imitation, copy, reiteration पुनरावृत्ति
16. **Economies of scale** (noun) – a proportionate saving in costs gained by an increased level of production.
17. **Exhortation** (noun) – urging, encouragement, appeal, persuasion, recommendation आग्रह
18. **Confine** (verb) – restrict, limit, restrain, enclose, contain सीमित करना
19. **Worthwhile** (adjective) – valuable, beneficial, rewarding, meaningful, profitable सार्थक
20. **Deepen** (verb) – strengthen, intensify, enhance, expand, escalate बढ़ाना

21. **Assertion** (noun) – declaration, statement, claim, affirmation, contention दावा
22. **Bilateral** (adjective) – two-sided, mutual, reciprocal, joint, dual द्विपक्षीय
23. **Negotiation** (noun) – discussion, talks, dialogue, bargaining, deliberation बातचीत / वार्ता
24. **Seek** (verb) – pursue, ask for, aim for, strive for, request तलाश करना / माँग करना
25. **Departure** (noun) – change, deviation, shift, breakaway, divergence विचलन
26. **Protectionist** (adjective) – restrictive, anti-free trade, tariff-based, conservative, insular संरक्षणवादी
27. **Tendency** (noun) – inclination, trend, habit, leaning, predisposition प्रवृत्ति
28. **Acceleration** (noun) – increase, growth, hastening, boost, upsurge तीव्रता / तेजी
29. **Openness** (noun) – receptiveness, transparency, frankness, liberalism, willingness खुलापन
30. **For its own sake** (phrase) – for self-benefit, for intrinsic value, independently, not for others, by itself अपने फायदे के लिए

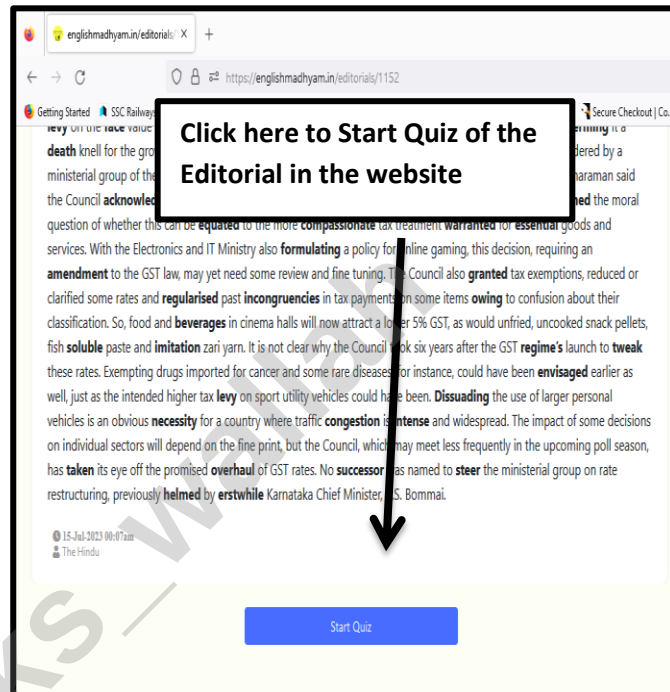
Summary of the Editorial

1. **Trump's Remark on Apple** – US President Donald Trump reportedly discouraged Apple CEO Tim Cook from making India a major manufacturing hub.
2. **India Shouldn't Overreact** – India should not take Trump's comments too seriously, as Apple's decisions are based on business logic, not politics.
3. **Apple's Business Priorities** – Apple already makes about 40 million iPhones in India and the rest in China, driven by cost and diversification needs.
4. **Diversifying from China** – Apple's expansion in India is part of a broader strategy to reduce dependence on China amid geopolitical risks.
5. **Long-Term Business Planning** – Manufacturing decisions are made strategically and cannot be altered impulsively based on political statements.
6. **India's Focus** – India should aim to become a top investment destination for all global firms, not just Apple.
7. **Beyond Assembly** – The goal should be to build a full manufacturing ecosystem, not merely assembling products.
8. **Successful Models Exist** – India's automotive and ancillary industries offer a working model for replicating in other sectors like electronics.
9. **Need for Economies of Scale** – To be competitive, India must produce for both the domestic and global markets, not just local demand.
10. **Rejecting Trump's Vision** – Trump's suggestion to limit Apple's Indian manufacturing to domestic needs is impractical and limiting.
11. **Policy Stability Matters** – India must ensure stable policies that encourage firms like Apple to expand their production and local supplier networks.
12. **Tariff Concerns** – India need not worry about Trump's claim that Delhi offered to drop tariffs on US imports — trade talks are ongoing.
13. **Trade Deal with UK** – India has shown recent willingness to lower tariffs, as seen in the trade agreement with the United Kingdom.
14. **Shift from Protectionism** – There's a notable move away from the earlier protectionist approach under Modi's first two terms.
15. **Lower Tariffs for India's Sake** – Ultimately, India should lower tariffs to benefit its own economy and global competitiveness — not to appease foreign leaders.

Practice Exercise: Banking Pattern Based



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